AD = C + I + G + (X – M)

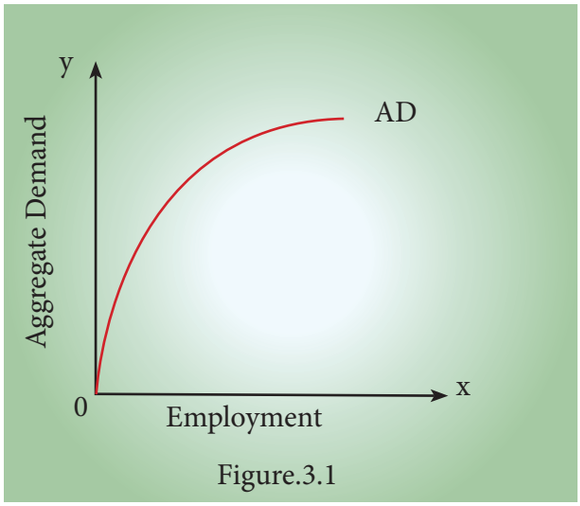


Figure.3.1

Figure 3.1. explains that aggregate demand price increases or decreases with an increase or decrease in the volume of employment. Aggregate demand curve increases at an increasing rate in the beginning and then increases at a decreasing rate. This shows that as income increases owing to increase in employment, expenditure of the economy increases at a decreasing rate.

3.6.2 Aggregate Supply Function (ASF)

Aggregate supply function is an increasing function of the level of employment. Aggregate supply refers to the value of total output of goods and services produced in an economy in a year. In other words, aggregate supply is equal to the value of national product, i.e., national income.

In other words, the aggregate supply refers to the required amount of labourers and materials to produce the necessary output. Employers hire labourers, purchase various inputs and raw materials to produce goods. Thus, production involves cost. If revenue from the sale of output produced exceeds the cost of production at a given level of employment and output, the entrepreneur would be encouraged to employ more labour and other inputs to produce more.

Aggregate supply price is the total amount of money that all entrepreneurs in an economy expect to receive from the sale of output produced by given number of labourers employed. The term 'price' refers to the amount of money received from the sale of output (sales proceeds). Hence, there are different aggregate prices for different levels of employment.

The components of aggregate supply are :

1. Aggregate (desired) consumption expenditure (C)
2. Aggregate (desired) private savings (S)
3. Net tax payments (T) (Total tax payment to be received by the government minus transfer payments, subsidy and interest payments to be incurred by the government) and
4. Personal (desired) transfer payments to the foreigners (Rf)(eg. Donations to international relief efforts)

Aggregate Supply = C + S + T + Rf = Aggregate income generated in the economy

The following figure 3.2 shows the shape of the two aggregate supply curves drawn for the assumption of fixed money wages and variable wages.

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